

like inflation, fiscal deficit, credit flow are obstacles on the growth track



S. MAHENDRA DEV
Chairman,
CACP

- Oil price hike can increase overall inflation
- Food inflation can raise overall inflationary expectations
- Fiscal deficit (Centre & states) of over 10 per cent is unsustainable which may hurt capex



AJIT RANADE
Chief Economist,
Aditya Birla Group

- Inflation, especially food and oil prices
- Credit flow, particularly to small and medium enterprises
- More Dubai-like credit bubbles



SIDDHARTHA ROY
Chief Economist,
Tata Group

- Rise in interest rates at this stage along with non-availability of liquidity
- Further increase in food and fuel prices
- Volatility in Indian asset markets due to developments outside



BIBEK DEBROY
Professor, Centre for
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- Government thinks that it understands inflation
- The Government decides to do something about it
- We do not have the independent debt management office



RAJIV KUMAR
Director and Chief
Executive, ICRIER

- Further intensification of the inflationary pressure
- Strong appreciation of the rupee which will further hurt exports
- India continues to ignore the necessity for structural reforms

Inflation	6%*	Inflation	5%	Inflation	5.5%	Inflation	5%	Inflation	5%
Interest	8%	Interest	7.5%	Interest	7.7%	Interest	8.5%	Interest	6.5%
Rs-\$ rate	45	Rs-\$ rate	44	Rs-\$ rate	46	Rs-\$ rate	45	Rs-\$ rate	44
	7%		6.5%		6%		7.5%		6.3%
	8%		7%		7.5%		8%		7%

IGIDR: Indira Gandhi Institute of Development Research, NCAER: National Council of Applied Economic Research, CACP: Commission for Agricultural Costs and Prices, IMI: International Management Institute, ICRIER: Indian Council for Research on International Economic Relations

further. So we are finding the flow. This is very good news. My expectation is that it will continue between 6 and 7 per cent for another year or so since we are facing the structural constraints on faster higher growth. And the last thing from whatever that I have seen, the Q1 and the Q2 figures also would be a technical recovery because of inventory corrections. The 11P growth that you see is an inventory correction rather than a great improvement in the final consumption off-take.

Bery: Credit is one of the canaries in mind. What has been surprising actually is how weak private consumption has been on the demand side and I don't think we really know what the drivers of services growth are on the supply side. So, we have put down the number on services growth. But a lot of that assumes that for the old drivers like telecom,

railways the story is not much affected. The auguries are good because 11P is picking up, but since 55 per cent of GDP is in services and none of us really have a theory of what keep the services growth going.

Goyal: My worry is that with this recovery we might forget the lessons of the crisis and for India specifically we need reform in global regulations in the international financial architecture and without that given the sort of huge interest differential we need equity inflows coming in. So we need to retain the lessons from the crisis, why India has been one of the countries least hurt, why our financial sector remains robust.

6.6%
is just the year-on-year growth of exports. It continued to lag for the 13th month.

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